

Senior Secured Revolving Credit Evaluation (\$14.5M)

Harbor & Stone National Bank / Vanguard Tooling • October 04, 2024

COMMERCIAL CREDIT EVALUATION & UNDERWRITING MEMORANDUM

Date: October 04, 2024

Originating Branch: Harbor & Stone National Bank — Commercial Lending Group

Borrower: Vanguard Tooling & Precision Machining LLC

Facility Type: Senior Secured Revolving Line of Credit (\$14,500,000)

Executive Summary & Facility Request:

The borrower is requesting a \$14.5 million asset-based working capital revolver to refinance existing short-term debt of \$8.2 million and support contract expansion with Tier-1 automotive and aerospace original equipment manufacturers. The proposed facility carries an initial pricing spread of SOFR + 235 bps, maturing in 36 months.

Historical Financial Performance Analysis:

Vanguard Tooling generated FY2023 revenue of \$52.4 million with EBITDA of \$7.8 million (14.9% margin), compared to FY2022 revenue of \$46.1 million and EBITDA of \$6.2 million. Annualized trailing twelve-month (TTM) figures through August 2024 show top-line revenue of \$56.8 million and adjusted EBITDA of \$8.6 million. Working capital cycles have stabilized, with Days Sales Outstanding (DSO) at 48 days and inventory turnover at 5.2x.

Debt Service & Leverage Metrics:

Under the requested facility, total funded debt will stand at \$18.2 million, resulting in a Total Debt-to-TTM EBITDA ratio of 2.12x. Fixed Charge Coverage Ratio (FCCR) is projected at 1.74x for the next four quarters, providing an adequate cushion above the minimum underwriting policy requirement of 1.25x. Collateral coverage is supported by an eligible accounts receivable borrowing base of \$11.8 million (advance rate 85%) and finished inventory valued at \$7.4 million (advance rate 50%), yielding total collateral borrowing capacity of \$13.73 million at closing.

Recommendation:

Approval is recommended subject to a maximum leverage covenant of 2.75x and monthly borrowing base certificate submissions.